



PROS AND CONS OF ZERO MDR



PROS

- Democratised digital payments by making UPI accessible and affordable for millions
- Lowered barriers to adoption and accelerated merchant acceptance
- Helped bring many small businesses, informal workers into the formal financial services ecosystem



CONS

- Size and scale that UPI has now reached will not be sustainable unless someone pays for it
- MDR on UPI could open new revenue streams and newer use cases, say some fintech players
- There is already an MDR on credit and debit card transactions. Companies say MDR could be levied at a very reasonable rate. There could be differential MDR as well

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be levied based on merchant category codes (MCC) instead of a value-based threshold. MCC is a four-digit code that banks and payment processors assign to merchants to identify the type of business for card payments.

UPI is now at the core of India's payments ecosystem.

According to data from analytical firm CareEdge, UPI accounted for 85.9% of the total retail payment volumes in FY26. It rose to 87.3% in the April-June quarter of FY27.

In comparison, NEFT and IMPS put together accounted for 5.3% of the total payment volumes in FY26, and credit cards and debit cards accounted for 2.1% and 0.5%, respectively.

In value terms too, UPI now accounts for a large chunk of the payment ecosystem—32.2% in FY26, which increased to 33.6% in Q1FY27. NEFT and IMPS together led in value terms last year, accounting for 59.2%, but have seen a slight drop to 58% in the first quarter.

The success of UPI has reached overseas too. Singapore, the UAE, Bhutan, Nepal, Sri Lanka, France, Mauritius, Qatar, and Cambodia accept UPI merchant payments.

"India's UPI ecosystem has achieved remarkable scale and depth. This strong growth reflects increasing adoption, expanding reach, and robustness of India's digital payments infrastructure, positioning UPI for

continued expansion and deeper integration across use cases," says Kalpesh Mantri, Assistant Director at CareEdge Advisory.

MULTIPLIER EFFECT

According to a white paper that Grant Thornton Bharat released in 2025, reintroducing MDR on UPI transactions could increase costs for over 50 million merchants, particularly small and medium businesses that have increasingly adopted digital payments.

Jhamb points to the multiplier effect that UPI payments have had on the economy in terms of financial inclusion and taxation. UPI led to the inclusion of many unorganised vendors into the formal financial ecosystem.